

IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(CIVIL REVISIONAL JURISDICTION)

CIVIL REVISION NO. 2455 OF 2024

In the matter of:

An application under Section 115(1) of the Code of Civil Procedure, 1908.

AND

In the matter of:

Adex Corporation Limited represented by its Managing Director, Mr. Ali Azam of address: 374 (4th and 5th Floor), Tejgaon Industrial Area, Dhaka-1208.

.... Petitioner

-Versus-

Rangpur City Corporation represented by the Mayor Office Building, Rangpur-5400 and others.

....Opposite parties

Mr. Md. Abdullah Al Mamun, Advocate

... For the petitioner

**Heard on 29.06.2025, 30.06.2025 and
07.07.2025.**

Judgment on 07.07.2025.

Present:

Mr. Justice Md. Mozibur Rahman Miah

And

Mr. Justice Md. Bashir Ullah

Md. Mozibur Rahman Miah, J:

At the instance of the applicant in Arbitration Miscellaneous Case No. 02 of 2023, this rule was issued calling upon the opposite party no. 1 to show cause as to why the judgment and order dated 21.04.2024 passed by the learned District Judge, Rangpur in Arbitration Miscellaneous Case No. 02 of 2023 rejecting the petition for appointment of an arbitrator under section 12 of the Arbitration Act, 2001 should not be set aside and/or such other or further order or orders passed as to this Court may seem fit and proper.

At the time of issuance of the rule, the operation of the impugned judgment and order dated 21.04.2024 passed in the said Arbitration Miscellaneous Case was stayed for a period of 3(three) months which was lastly extended on 04.03.2025 for another 6(six) months.

The case of the present petitioner in short is that, it filed an application under section 12 of the Arbitration Act, 2001 for appointing an arbitrator for the opposite party nos. 1-6 seeking following reliefs:

“A. Admit this application and issue notice upon the opposite parties to show cause as to why an arbitrator shall not be appointed by the Court on behalf of the opposite parties. After hearing the parties cause shown, if any, allow the application and appoint an arbitrator on behalf of the opposite parties and/or further order or orders as to Your Honour may deem fit and proper.

B. Award costs of the Suit in favour of the petitioner; and/or,

C. Any other relief or further relieves to which the petitioner may be entitled to under law, equity and good conscience.”

The precise case so have been stated in the application filed under section 12 of the Arbitration Act is that, at the instance of the opposite party no. 1 on 07.11.2019, an E-tender was floated for supplying and installing LED street lights and the petitioner was found to be a first responsive lowest bidder in respect of 8 different packages of work offered. Accordingly, it was given notification of award on 19.03.2020 and the petitioner by furnishing an agreement dated 11.06.2020 asserted to complete the assigned work within 180 days of issuance of the work order. However, after importing the LED street lights since some discrepancies were found then at the request of the opposite party no. 1, the said street lights were sent to the Bureau of Research, Testing and Consultation (BRTC) as well as Bangladesh University of Engineering and Technology (BUET) for examining the quality of the imported LED street lights but as the opposite party no. 1 was not convinced with the report so submitted by the BRTC and BUET, it vide letter dated 25.10.2021 asked the petitioner to remove the street lights already installed and to reinstall the LED street lights bringing it from specific country of origin and brand. Then the petitioner vide letter dated 10.01.2022 intimated the said objection of the Rangpur City Corporation to the Ministry of Local Government Rural Development and Co-operatives when the dispute was ultimately placed to the Additional Secretary of the Ministry and it has been resolved that since one

component named, Surge Protective Device (SPD) is of China origin in place of Germany and thus the petitioner was asked to replace that SPD by importing it from specific country to be specific brand. It has further been stated by the petitioner in spite of that resolution, the opposite party no. 1 vide letter dated 23.03.2022 terminated the contract. Subsequently, the petitioner brought the matter to the notice of the adjudicator vide its letter dated 28.05.2023 but the opposite party did not pay any heed to it. Then by invoking clause 94.3 of General Contract Condition (GCC), the petitioner issued a notice of arbitration on 11.06.2023 yet the opposite party no. 1 did not respond to the said notice but during the period, the opposite party no. 1 invited re-tender for accomplishing self-same work and hence the petitioner compelled to file the case.

On the contrary, the present opposite party no. 1 entered appearance in the case and filed written objection denying all the material averments so made in the petition contending *inter alia* that from the report submitted by the BTRC and BUET, it was found the claim of the opposite party justified as the LED street lights had not been sourced by the petitioner from the specific country as well as brand. It has further been stated that though there has been clear provision in GCC clause no. 94.2 that within 14 days of terminating contract, the aggrieved party shall refer the decision to the adjudicator for adjudication of the dispute, but the petitioner invoked the said jurisdiction after one year two months and five days. It has further been alleged by the opposite party that though in GCC clause 94.3, it has also been stipulated, if the parties are unable to reach a settlement within 28 days on the matter of disagreement, then either party

may give notice to the other party conveying its intention to commence arbitration though the petitioner issued a letter of arbitration on 11.06.2023 which is after one year four months and twenty-six days and therefore, the arbitration proceeding initiated by the petitioner cannot be sustained and prayed for dismissing the case.

The learned District Judge, Rangpur after taking into consideration of the materials on record and considering the submission so placed by the parties to the case, vide impugned judgment and order dated 21.04.2024 dismissed the case.

It is at that stage, the applicant to the said Miscellaneous Case as petitioner came before this court and obtained instant rule and order of stay.

Mr. Md. Abdullah Al Mamun, the learned counsel appearing for the petitioner upon taking us to the impugned judgment and order and all the documents so appended therewith and by filing a supplementary-affidavit at the very outset submits that the learned District Judge committed a grave error of law innot taking into consideration that before initiating the Arbitration Miscellaneous Case, the petitioner issued notice to the adjudicator on 28.05.2023 and therefore, there has been no reason not to entertain the application filed under section 12 of the Arbitration Act, 2001.

The learned counsel further contends that since the opposite party no. 1 did not take any initiative to resolve the dispute in spite of receiving the copy of the application addressed to the adjudicator, the petitioner has rightly issued a letter of arbitration dated 11.06.2023 (though Annexure-

‘J’ shows it is dated 09.07.2023) but the opposite party no. 1 in spite of receiving the said notice since did not respond to the same, the petitioner has rightly filed the Miscellaneous Case on 16.08.2023.

The learned counsel by filing a supplementary-affidavit also contends that though the learned District Judge found that the petitioner did not take resort to the adjudicator and then the arbitration proceeding in compliance with the GCC clause 94.2 and clause no. 94.3 so the same cannot be proceeded without taking into notice that the petitioner also kept on contacting the opposite party to resolve the dispute amicably and therefore, the time frame provided in those two clauses will not *ipso facto* debar the petitioner to invoke arbitration proceeding under section 12 of the Arbitration Act.

The learned counsel also contends that though the termination of contract was made on 23.03.2022 but nothing consequence has been provided in those two clauses as to what consequence will follow if the petitioner even fails to proceed with adjudication, in absence thereof, the petitioner is legally entitled to take resort to arbitration under section 12 of the Arbitration Act to resolve the dispute by appointing arbitrator.

When we pose a question to the learned counsel that in spite of knowing everything about the termination of contract why the petitioner delayed taking resort to the adjudicator under clause 94.2, the learned counsel then readily submits that after issuance of termination of contract, the petitioner since was engaged with the opposite party no. 1 for amicable negotiation, so it has not taken resort to GCC clause 94.2 in time.

The learned counsel by taking us to the GCC clause no. 94.3 where the process of arbitration has been provided contends that even nothing has been provided therein that is, if any party to the dispute fails to take resort to the adjudicator then he/she will be precluded to invoke the arbitration and therefore, the petitioner upon issuing notice of arbitration dated 09.07.2023 has rightly initiated the arbitration case against the opposite party but the learned District Judge has failed to appreciate that very legal aspect. With those submissions, the learned counsel finally prays for making the rule absolute on setting aside the impugned judgment and order.

Record shows, notice of the rule has duly been served upon the opposite parties but none represented the instant rule.

Be that as it may, we have considered the submission so advanced by the learned counsel for the petitioner and perused the revisional application and all the documents so annexed therewith vis-à-vis the supplementary-affidavit filed today.

In the instant rule, we only dwell on whether the learned District Judge has committed any illegality in dismissing the Miscellaneous Case initiated under section 12 of the Arbitration Act by the petitioner.

It is true, as many as 8 packages of works were awarded in favour of the petitioner and from the impugned order of termination which has been annexed as of Annexure-‘G’ series to the revisional application, we find that the termination of contract was made in respect of package no. 1, package no. 3, package no. 7 and package no. 8 vide issuing letter dated 23.03.2022.

It is not the case of the petitioner that the petitioner has not received those termination letters. It is also not denied that the petitioner was not aware of the condition so have been provided in the agreement (Annexure-‘B’ to the application) in particular, clause nos. 94.2 and 94.3 rather it is admitted position that the petitioner upon knowing of having adjudication clause, issued a letter to one President, Institute of Project Management Bangladesh on 28.05.2023 though in the GCC clause no. 94.2, it has clearly been provided if the contractor feels aggrieved with the decision of the Project Manager, it has to issue a notice to the adjudicator within 14 days from the said decision to the adjudicator. But fact remains, from the letter dated 28.05.2023, we find that without issuing that letter to the designated entity as stipulated in clause no. 94.2(e) of the contract, it issued a letter to one, Mir Sohel Rana, Institute of Project Management, Bangladesh and in paragraph no. 2, it has been stated that the petitioner could not find the designated adjudicator upon due search. So, from that very assertion, it is clear that the petitioner is well aware about the adjudication proceeding provided in clause no. 94.2. Had it been so, then the petitioner should have issued that letter within 14 days from the termination of the contract dated 23.03.2022.

Moreover, if the petitioner would have failed to get desired relief from the adjudicator within 28 days of initiating its grievance from the adjudicator, then it could invoke arbitration by issuing a notice of arbitration to the opposite party no. 1. But from the materials on record, it shows, the petitioner invoked the jurisdiction to adjudicate the dispute through adjudicator but long after the period provided therein clause no.

94.2. Even, nothing has been stated in the ‘notice of arbitration’ dated 09.07.2023 how the said adjudicator had failed to adjudicate the issue within 28 days compelling the petitioner to issue the notice of arbitration on 09.07.2023.

At this, the learned counsel appearing for the petitioner submits that since no consequence has been provided in GCC clause 94.2 that is, what will happen if the petitioner does not invoke adjudication process, so it will not be debarred to initiate arbitration proceeding under section 12 of the Arbitration Act. But we are not at one with that submission because the petitioner issued a letter on 28.05.2023 (Annexure-‘I’ to the application) to resolve the dispute through adjudication so there has been no scope for the petitioner to eschew the time limit provided in GCC clause no. 94.2 in taking resort to the adjudication process rather it alternatively proves, the petitioner knowing everything issued the said letter.

At this, the learned counsel appearing for the petitioner submits that since the petitioner was engaged various negotiations with the opposite party, for which it cannot invoke GCC clause no. 94.2 issuing letter to the adjudicator. But we are unable to take the said submission, as nothing is there in clause no. 94.2 or any other clauses in the contract that authority the petitioner to make any communication other than to go to adjudicator in compliance with the time limit.

Now question can arise as to whether without taking resort to the adjudication process, the petitioner can opt for arbitration clause.

Since once the petitioner invoked GCC clause no. 94.2 and it is found to be hopelessly time barred, so there has been no scope to go for arbitration under GCC clause no. 94.3 as both the clauses are intertwined. In that regard, the learned counsel for the petitioner submits that arbitration clause being GCC clause no. 94.3 is a separate provision having no nexus with its preceding provision of adjudication that is, clause no. 94.2 but that very submission is totally absurd given the stipulation made in clause no. 94.3. For that obvious reason, we feel it expedient to reproduce both GCC clause 94.2(a) and 94.3(a) here:

“94.2(a) If the Contractor believes that a decision taken by the Project Manager was either outside the authority given to the Project Manager by the Contract or that the decision was wrongly taken, the decision shall be referred to the Adjudicator within fourteen(14) days of notification of the Project Manager’s decision in writing.

94.3(a) If the parties are unable to reach a settlement as per GCC Clauses 94.1 and 94.2 within twenty-eight (28) days of the first written correspondence on the matter of disagreement, then either party may give notice to the other party of its intention to commence arbitration in accordance with GCC Sub Clause 94.3(b).”

Though by filing a supplementary-affidavit today, the learned counsel tried to impress us that the termination of contract was

subsequently restored by taking us to Annexure-‘O-2’ to ‘O-3’ to the supplementary-affidavit but on scrutiny, we find that the termination of contract in respect of those Annexure, are different to those of the termination of contract against which the petitioner sought arbitration (Annexure- ‘G’ to the application) and therefore, the restoration letters comprising Annexure-‘O-2’ to ‘O-3’ to the supplementary-affidavit has got no nexus with the termination of contract of the petitioner which are of for different packages.

Regard being had to the above facts and circumstances, we don’t find any iota of illegality or impropriety in the impugned judgment and order which is liable to be sustained.

Accordingly, the rule is discharged however without any order as to costs.

The impugned judgment and order dated 21.04.2024 passed by the learned District Judge, Rangpur in Arbitration Miscellaneous Case No. 02 of 2023 is thus affirmed.

The order of stay granted at the time of issuance of the rule stands recalled and vacated.

Let a copy of this judgment be communicated to the court concerned forthwith.

Md. Bashir Ullah, J:

I agree.